An Open Network for Debt Clearing Between Businesses

Grant Proposal 1· Ray Dela Rama · ray@provensuccess.org · Information as of October 2026

Executive summary

We're testing whether an open network that cancels debts between businesses is worth building, starting in the Philippines then expanding to all countries of the world.

The problem. Small businesses run short of cash for two linked reasons: other businesses pay them late, and banks rarely fill the gap. Some fail or close, and their workers lose their jobs. In the Philippines, where this test will run first, micro, small and medium businesses (MSMEs) are 99.63% of business establishments and 66.97% of employment (2023), yet MSME loans were only 4.73% of bank loans at the end of 2025.

The idea. Clearing cancels cycles of debt: if Company A owes B, B owes C, and C owes A, the three debts cancel with no money moving. In Slovenia, national clearing cancelled debts between businesses equal to 7.58% of GDP in 1992. In Italy, real invoices show clearing alone would cancel about 25% of what firms owe each other. We found no measure for the Philippines, which is what this grant money is for.

What we build, and the goals. An open network groups local businesses into unions that clear their debts. The first union starts with 3 to 20 members. The clearing method, the ledger design, a free debt map, a portable record of kept and broken payment commitments, and a fair framework for settling disputes are designed together and published as open source, so any team can repeat the test. The short-term goal is that member businesses run short of cash less often, so fewer fail and fewer workers lose their jobs. This proposal tests only whether the network is worth building: whether it saves a typical member more than it costs, and whether it can lawfully operate. The long-term ultimate goal is a world where everyone is safe, free, and treated fairly, and able to grow, belong, and contribute (My Open Manifesto). The open network is the first mechanism because it can be tested on real invoices. We do not yet know whether the network alone reaches the vision, and we will add other mechanisms if the evidence says they are needed.

The ask. $10,000 for Stage 1 (about 4 to 6 weeks), then $100,000 for Stage 2 (about 3 months) once funders confirm the Stage 1 gate is met. Stage 1 can be funded alone; Stage 2 can come from one funder or several and starts when the full amount is in hand. Stage 1 checks whether clearing can lawfully operate, whether real businesses will share invoices, and whether the audit program is right (tested on made-up data first). Stage 2 measures, on real invoices from one local area, how much of what members owe each other can be cancelled. It also prepares the legal filings and designs the live software, the record, and the dispute framework. Later, if the evidence supports it, we would ask for much more to fund a team of leaders, the software build, an independent security review, and a pilot of the first union.

Who does the work, and how your money is protected. I do the work, directing AI tools, and will pay a payments lawyer and a senior software engineer (not yet engaged) to check what AI produces; their fees are about 65% of the total budget. The Stage 1 gate includes the lawyer's written answers, at least 5 businesses in the chosen area agreeing in writing to share anonymized invoice data, and a trade association willing to introduce members. If the evidence is weak, we stop or redesign and report before any Stage 2 money is spent. Each funder receives a written report at the end of each stage. Unspent money is reported and, at each funder's choice, returned or carried forward.

The problem

Small businesses run short of cash because other businesses pay them late and banks rarely fill the gap. A business paid late still has to pay its own suppliers, workers, and loans on time. If it cannot borrow, it may fail or close, and its workers lose their jobs.

Scale. MSMEs are 99.63% of the 1,246,373 business establishments and 66.97% of employment in the Philippine Statistics Authority's 2023 List of Establishments (DTI MSME statistics).

Cause 1: late payment between businesses. Philippine SMEs commonly deliver to larger firms first and are paid 30, 60 or even 90 days later, so they in effect finance their customers (Manila Times column by a business lender, 4 Jul 2026). In the EU, half of invoices are not paid on time and about 1 in 4 bankruptcies is due to unpaid invoices (European Commission, 2023).

Cause 2: banks do not fill the gap.

- The Asian Development Bank reported that MSME loans fell to 6.1% of banks' total lending in 2019, from 11.7% in 2010, as more lenders chose to pay a penalty rather than meet the required lending share (BusinessWorld, via the Credit Information Corporation).
- BSP data put MSME loans at 4.73% of the bank loan book at the end of 2025 (a different source and measure) (BusinessWorld, 4 Mar 2026).

When banks do not lend, suppliers sell on credit and wait to be paid. Trade credit is the second most important source of finance for firms and often the sole source for SMEs (Fleischman, Dini, Littera, 2020).

What we could not find. We found no published Philippine measure of how late businesses pay each other, how much of that debt forms cycles, or whether late payment, scarce credit, or too few customers limits them most. Two related facts keep us honest:

- In the 2023 World Bank Enterprise Survey of formal firms with at least 5 employees, 12.8% of Philippine firms named access to finance their biggest obstacle, behind electricity (18.1%) and informal-sector practices (13.6%) (Inquirer Metrics, via Asia News Network).
- In eight other Asian markets (the Philippines was not among them), overdue invoices affected an average 44% of B2B credit sales (Atradius, 2025).

Measuring this in the Philippines is the first task of Stage 1, through 20 to 30 interviews.

What this does not solve. The network does not yet address other reasons why businesses fail such as weak demand, electricity costs, informal competition, or compliance costs. It also does not make large buyers outside the network pay on time: clearing works only on debts between members, and large firms join later. For now, it targets cash trapped in unpaid invoices between members.

What solving it is worth. If a union works, members wait less for money and borrow less. Each day cut from payment times raises aggregate cash flow by roughly 0.9% in the EU (same European Commission factsheet); we found no Philippine figure. This proposal measures what the network could have done on real invoices from one local area, with no money moving. That shows what was possible, not results from live use. It does not yet test whether members fail less or keep more jobs for workers. The first union tests that, and this proposal does not fund it.

The solution and evidence

Clearing cancels cycles of debt between businesses, and it worked at national scale in Slovenia.

How clearing works. Suppose Company A owes B PHP 100,000, B owes C PHP 100,000, and C owes A PHP 100,000. Each is owed money and owes money, yet each waits. Cancelling the three debts against each other settles all of them with no money moving. Real networks are larger and the cycles overlap, so software finds the largest set of debts that can be cancelled together.

Place	Result	Limit
Slovenia (paper)	National clearing since 1991. In 1992, its first full year, it cancelled debts between businesses equal to 7.58% of GDP, in a downturn where GDP fell 8.9% in 1991 and 5.4% in 1992	Two of the paper's three authors work for the software's developer and for Sardex. Use fell to 0.5% of GDP and 1.2% of firms by 2019 (8.3% of firms in the 2012 crisis)
Italy (Sardex)	Real 2019 invoices from 3,199 firms (138,378 transactions): clearing alone would cancel about 25% of what firms owed each other (23% of invoice value, and more than 40% of invoices at least partly settled)	An analysis of invoices (Sardex credit amounts treated as euros), not a live clearing run, in one network whose members already trade with each other

The lead author of that paper has said that banks' payment systems already use the same clearing method (Lowimpact, 2023).

What businesses use today. Businesses cover cash gaps with bank loans, invoice factoring, supply-chain finance run by a large buyer's bank, or by asking suppliers to wait. All but the last depend on a lender and cost interest or a fee, and the last pushes the gap onto the supplier. Clearing needs no lender and charges no interest, though a small fee on cleared value may fund the network (see the earnings section below).

Why clearing first. We test clearing first because it needs no new behavior and creates no new debt. We expect firms in a cycle to confirm what they owe, because every firm in a cycle is both a buyer and a supplier, and confirming is how its own debts get cancelled. The evidence does not show that Philippine businesses have enough cycles, that firms will confirm, or how large buyers behave in a small network. Stage 1 checks this by interview, and Stage 2 measures it on real data before any live software is built.

What members get

Members get three tools on top of clearing: a debt map, a fair way to settle disputes, and a record of kept commitments. Clearing brings value today. These three make it fair, visible, and lasting.

Tool	What it does	How it works	Why it matters	When members get it
Debt map	Shows a firm who owes it, whom it owes, how late each debt is, and which debts sit in cycles that can be cancelled	Invoices confirmed by both sides are linked into one picture, and software finds the cycles. Before joining, a firm gets a free, private audit of its past invoices	Shows how much cash is trapped. It also tells us whether the network is worth building: if cycles are few, we stop	Audit on made-up data in Stage 1 and on real invoices in Stage 2, with a private report to each firm. The live version starts with the first union
Fact-finding	Settles what happened when two sides disagree about an invoice, so the debt can be cleared or paid	Each side adds its evidence, such as the invoice and proof of delivery. Software lines up what both agree on and where they differ. A small panel of union peers, chosen by member vote and unconnected to either side, records the best-supported answer with its reasons. Each fact is labeled: confirmed by both sides, confirmed by an independent record (such as a bank transfer or a filed e-invoice), or contested. A finding is not absolute truth: it stays open to appeal if new evidence appears	Without a fair way to settle disputes, disputed debts stay frozen and the record would mark people on weak evidence. Everything the record says depends on it	Designed in Stage 2. A simple version for invoice disputes starts with the first union
Record of payment commitments	A history of a member's kept and broken payment commitments: paid on time,	Built automatically from confirmed invoices, so nobody fills it in. The member owns it and takes it along when leaving. Only	Makes trust visible before two firms deal. Firms that keep their word build standing,	Starts with the first cleared invoice in the first union. It leaves the

Tool	What it does	How it works	Why it matters	When members get it
	paid late, unpaid, cancelled in a cycle, and how any dispute was settled	payments are recorded at first	and it is harder for firms that delay or deceive to hide it	union, and grows beyond payments, only after peer juries have shown fair findings

Why these three matter most. Clearing pays for the network today, and the debt map decides whether to build it. Fact-finding and the record are what may last longer: they let honest dealing earn standing and deceit lose access to cooperation without force, because members simply choose whom to deal with. This is our reasoning, not a finding. The record alone is not enough. It helps only if findings are fair, if being cut off costs something, and if a bad record cannot be dropped and restarted. Clearing builds the value that makes being cut off matter, and each member is later tied to a real owner, which matters most once AI agents join.

When members get them. The software is open source, but the live debt map, dispute settlement, and record work only among members of a union, and they start together with the first union (Phase 1, not funded here). Phase 1 starts after the audit passes the pass mark, counsel confirms a legal path, and the security review is passed, so there is no calendar date. The earliest members see anything is the free audit report during Stage 2, which ends about 4 to 5 months after Stage 1 funding.

Who the members are

The core is 150 to 300 business-to-business suppliers in one local area, in industries that supply each other, who already trade with each other on credit. Most are expected to be small or medium, which the Stage 1 map will confirm. The choice of local area matters more than the size band. In one local area, the live network is a union: clearing runs only among its current members, anyone who accepts the same frameworks and passes vetting can join, and anyone can leave. The union starts with 3 to 20 core members, and the rest join as it widens. The right starting size for the first union is set by the Stage 2 audit.

For example, a bottle maker, a trucking company, and a packaging firm may all sell to one drinks producer, yet buy from each other and from the same fuel, maintenance, and insurance suppliers. Those links are what form cycles.

A member must:

- Sell to and buy from other members on invoice terms, ideally with more than 3 obligations to other members on average. A practitioner says cycles appear once members average 2 to 3 such obligations, ideally more, and that 50 to 100 well-connected firms can be enough (Lowimpact, 2023). If the audit shows fewer, we add complementary local businesses up to a limit written down beforehand, and report the result for the original core separately.

- Be in the same local area, in industries that supply each other, with an owner or finance lead who can decide quickly. Trust is local, and repeat dealing keeps it.
- Issue proper invoices and share anonymized invoice data. The audit and the ledger run on real invoices.
- Accept the same frameworks as every other member, large or small: the right to leave at any time after settling the net balance, and a member-voted limit on how much of the union's volume any one member can hold.

Not in the core: large conglomerates and banks as founding members (a large member in a small network could set its terms; they join later on the same terms, once a live union has tested the limit on one member's weight); consumers and micro or informal firms that issue no usable invoices; and firms that fail vetting on payment history.

Where this leads, and how the network earns

The network earns one way: a small fee on the value it clears, and it is designed to fund itself from that fee.

How it earns. No cancelled debt, no fee. There are no ads, no sale of member data, and no cut of what members spend. The audit is free to the firms that take part. In Slovenia, the government agency that runs the clearing charges a percentage fee on the amount set off (Fleischman, Dini and Littera, 2020), and the lead researcher has said a large enough network can be self-sufficient on small fees (Lowimpact, 2023). Neither proves a Philippine network would cover its costs. The fee must stay well below what clearing saves a member, and across the network it must also cover the cost of serving current members, finding new ones, keeping all members transacting inside the network, and opening new areas to expand the network. Without that, the network cannot grow to reach the vision. The Stage 1 interviews ask what members would pay, Stage 2 records it, and the pilot tests it. If fees do not cover costs, we report it and redesign instead of depending on grants indefinitely.

Where this leads (reasoning, not tested here). Clearing comes first because businesses feel late payment today. What may last longer is what clearing creates along the way: an open, portable record of who kept their commitments, and a fair framework for settling what happened when two sides disagree. As AI agents make more deals for people and businesses, and fakes become easier to make, each side will need a way to check whom it is dealing with. A record is only as fair as the process behind it, so the dispute framework is designed with the record from the start, and the record stays limited to payments until peer juries have shown fair findings. If cash becomes less scarce over time, the fee on cleared value shrinks, and the network would need another way to pay for itself. We cannot show that now.

Roadmap

Everything built in Stages 1 and 2 is a prototype or a design. Real software is built only after Stage 2 passes.

1. **Stage 1 ($10,000, about 4 to 6 weeks).** Legal answers, interviews, one audit program tested on made-up data, and 5 or more firms signing data agreements. Real invoices: a small anonymized sample to test the pipeline only. Starts when funding arrives.

2. **Stage 2 ($100,000, about 3 months).** The same program improved and run on real invoices from the signed firms (aggregate results only), legal opinions and filings, and the ledger, record, and dispute framework designed on paper. Starts when funders confirm the Stage 1 gate.
3. **Phase 1 (not funded here).** Build the real software, have it independently security-reviewed, and start the first union of 3 to 20 members, with clearing, the live debt map, fact-finding for invoice disputes, and the payments-only record. Starts when the audit passes the pass mark, counsel confirms a legal path, and the security review is passed.
4. **Later phases (not funded here).** Many local areas in one country, then neighboring countries, then continents. Each starts only when the one before it has produced evidence.

What carries over to another country: the audit method, the ledger design, the membership framework, and the six legal questions in Appendix A. What does not: the legal answers, the invoice frameworks, and the choice of local area. If a partner with a stronger local position joins early in another country, the first test can move there with the same stages and gates.

My Open Manifesto (provensuccess.org) describes further hoped-for benefits, such as fewer hidden debts, faster dispute settlement, cheaper cross-border trade, more genuine relationships, and more work worth working which makes life more worth living. None is funded or tested here.

Philippine frameworks that shape the build

Four Philippine frameworks shape the build. Stage 1 and Stage 2 put them to counsel before any live software exists. The six questions for a payments lawyer are in Appendix A.

- **Payment systems.** The National Payment Systems Act (Republic Act 11127) defines an operator as an entity that provides clearing or settlement services, and operators must register with the Bangko Sentral ng Pilipinas (BSP) (Conventus Law, 2018). On 7 Sep 2026 a draft BSP circular was reported that would pause new operator registrations for 12 months. Applications filed before the pause would still be evaluated but not approved until it ends, and entities could not start activities that need registration without BSP authorization. It was a proposal, and we found no report that it has taken effect (PhilStar, 7 Sep 2026). These are questions 1 and 2.
- **Invoices and tax.** The Bureau of Internal Revenue (BIR) issued Revenue Memorandum Circular 98-2026 on 22 September 2026. Covered taxpayers generally must issue structured electronic invoices by 31 December 2026, and micro taxpayers are excepted (KPMG, 24 Sep 2026), so some pilot businesses may not issue them (question 5). Whether cancelling debts in a closed cycle is non-taxable settlement is question 3.
- **Disputes.** Whether disputes between members can be settled by peers chosen by member vote, and what would make those decisions enforceable, is question 6. A disputed invoice cannot be cancelled in a cycle until it is settled, so a dispute framework is needed from the first union. Counsel answers it in Stage 2.
- **Data privacy.** The Data Privacy Act of 2012 (Republic Act 10173) governs how personal information is handled. Invoices that name sole proprietors may contain personal information even when other details are removed (question 4).

The network does not issue a replacement for the peso or any other currency, and clearing moves no money. Every invoice is recorded as an amount in its own currency (e.g., pesos in the Philippines).

Whether clearing falls under payment-system frameworks is a question for the payments lawyer (Appendix A, questions 1 and 2).

Team, checks, and pay

One person does the work in both stages, and paid experts check the parts where an error would cost the most. The network cannot depend on one person, so the next request funds leaders who each run one area on their own: law and regulation, engineering and security, fair dispute settlement, country launches, partnerships, and finance and risk.

Founder. I am Ray Dela Rama, based in the Philippines. I trained and worked as a structural engineer, then left that career, have done digital freelancing for international clients, and also founded a small local food business. Through these experiences, I learned a lot about how the real world works, and the painful problems I faced drew me to work on a big vision: a world where everyone is safe, free, and treated fairly, and able to grow, belong, and contribute. This work is part of achieving the vision. Learn more here: provensuccess.org

How work is checked. AI tools draft documents, research, and test code under the founder's direction. Their output is used only when it can be verified: facts against named sources, software against tests with known answers, and legal and security questions by qualified people. For example, the audit program is tested on made-up invoices with 10 debt cycles hidden in them on purpose, so the right answer is known. It must find all 10.

Role	What they check	Stage
Payments lawyer, Philippines	Payment-system registration, tax treatment of netting, invoice frameworks, dispute enforceability, data handling	1 and 2
Exceptional software engineer	Writes acceptance tests before anything is built, reviews the audit program, and designs the live software, the record, and the dispute framework	1 and 2
Independent security reviewer	Reviews the ledger and clearing software before any live member data is used	Next request
Advisors (2 to 3)	Finance and supply-chain questions, and introductions to businesses	2

Names are shared with funders as soon as they are confirmed.

Pay. Exceptional people are paid what they are worth, by a fixed fee per outcome, not by the hour. Every amount in this proposal is a budget, not a cap. We will not hire people below our standard to fit a budget. If the work needs more to pay exceptional people, we will say so and ask. The founder's living cost here is the minimum for a short proof. For the longer build it is set at a level that keeps the founder healthy, because a burned-out founder is a single point of failure. Later pay from network profit is set by member vote, as described in the Open Manifesto (provensuccess.org).

Stage 1: $10,000, about 4 to 6 weeks

Stage 1 answers three questions before any real software is built: can clearing lawfully operate, will real businesses share invoices, and is the audit program right. The calendar is set by how fast businesses and experts reply. The Stage 2 release follows the gate, not a date.

Three outcomes decide it.

1. The lawyer's written answers say whether clearing can lawfully operate (questions 1, 2, 3 and 4).
2. At least 5 businesses in the chosen local area have signed data-sharing agreements, and a trade association has agreed to introduce members.
3. The audit program finds every hidden debt cycle in made-up data and invents none, as reviewed by the engineer.

Work.

1. In week 1, start the slowest things, because they depend on other people's replies: the lawyer inquiry (for questions 1, 2, 3 and 4, plus a written fixed-fee quote and timeline for questions 5 and 6), the engineer request (with a written fixed-fee quote), and introductions through trade associations and chambers of commerce.
2. Interview 20 to 30 business owners and finance staff about how late customers pay and how much is overdue, whether the late payers are large or small firms, how they cover cash gaps and what it costs, how much they buy within the local area, what they would pay for faster settlement, and what limits their sales most. Then ask what would make them confirm an invoice they owe. This gives the first Philippine measure of both causes in the problem section.
3. Give questions 1, 2, 3 and 4 (Appendix A) to a Philippine payments lawyer for written answers at a fixed fee. The lawyer clears the data-sharing agreement first; firms sign only after that (a short non-binding letter of intent can come earlier).
4. Build the audit program, one tool that finds debt cycles. Test it on made-up invoices with 10 planted debt cycles: it must find all 10 and invent none. An exceptional engineer writes these tests first. Stage 2 improves the same program and runs it on real invoices.
5. Shortlist two or three candidate local areas, map which businesses buy from and sell to each other using public data, and choose the one with the most links where at least 5 businesses agree to share data. Record why.
6. Once the lawyer has cleared the data terms, each signing business gives a small anonymized sample (a few dozen invoices) to test that real files can be read and anonymized. No saving is claimed from it.
7. Draft the membership framework and a short open design of the invoice data, clearing method, record of payment commitments, and dispute framework, so members know from day one what is recorded, who owns it, and that they can leave with it. Write the Stage 2 plan with the lawyer and software engineer, including how many businesses must be approached to reach the recruiting target at the measured agreement rate, and any change to the timeline or budget that rate requires.

Budget.

Item	Amount	What it covers
Living costs	$1,500	About 6 weeks at home at $1,000 a month

Item	Amount	What it covers
Payments lawyer	$3,000	Fixed fee for written answers to questions 1, 2, 3 and 4
Exceptional engineer	$3,000	Fixed fee for acceptance tests and review of the audit program
AI tools and usage	$1,000	Research, drafting, and audit program development
Interviews and short trips	$1,000	Travel to meet business owners in person
Reserve	$500	Overruns. Any unspent amount is reported and, at the funder's choice, returned or carried into Stage 2
Total	**$10,000**	

Gate to release Stage 2. Funders review this evidence before releasing Stage 2.

- Written legal answers to questions 1, 2, 3 and 4.
- At least 20 interviews completed, with a written summary of how late customers pay, how cash gaps are financed, debt cycles, willingness to pay, what limits sales, and what would make firms confirm an invoice they owe.
- At least 5 businesses in the chosen local area agree in writing to share anonymized invoice data under a confidentiality agreement, and their sample files were read successfully. The report records how many of the businesses approached agreed, and the Stage 2 plan states how many must be approached to reach the recruiting target at that rate.
- At least one trade association or chamber of commerce in the chosen local area agrees in writing to introduce its members in Stage 2.
- The audit program finds all 10 planted cycles, invents none, and the engineer has reviewed it.
- Two or three candidate local areas and industries mapped, and one chosen with the reason recorded.
- The short open design is written.

Stop gate. If fewer than 5 businesses in any candidate local area will share data, if interviews show late payment and cash gaps are not a real problem for the target businesses or show little interest in the network (the threshold is written down in week 1, before the first interview), if most buyers say nothing would make them confirm what they owe, if no trade association or chamber of commerce will help with introductions, or if counsel says clearing cannot lawfully operate, we stop or redesign and report before any Stage 2 money is spent. If interviews show few debt cycles, or fewer than 5 businesses willing to share data, in the chosen local area, we first check the next candidate local area, because a weak local area does not prove the idea fails.

Stage 2: $100,000, about 3 months

Stage 2 measures on real invoices how much clearing saves, prepares the legal filings, and designs the live software so that building can start as soon as the saving and the legal path are known.

Three outcomes decide it.

1. The audit result on real invoices, set against a pass mark written down before the audit.

2. Counsel's formal opinions on questions 5 and 6, and the legal filings submitted.
3. The design of the live software, the record, and the dispute framework, with acceptance tests accepted by the lead engineer.

The method, ledger design, record and dispute framework, and legal questions are published openly beside these, so a team in another country can repeat them.

Work.

1. Recruit the core in waves, aiming for 150 to 300 suppliers (a published practitioner statement suggests 50 to 100 well-connected businesses can be enough). Recruit along trading links, not at random: start from the Stage 1 businesses and ask each to introduce their main suppliers and customers in the local area, because linked firms are the ones that form cycles. Also use the trade association or chamber of commerce from Stage 1, and accountants and bookkeepers who serve many small firms (introductions only, with each client's consent). Recruiting means signing a data-sharing agreement for the audit, not joining the live network. Record which channel each firm came from. Each firm that shares data receives a private report of its own result, and is asked whether it would join the first union in principle (not binding).
2. Run the audit in checkpoints on real invoices, using the Stage 1 program after the engineer has improved and reviewed it, in a closed setup under the data-sharing agreements: at about 50 firms, then about 100, then the full group. Funders see each checkpoint. A strong result at 50 firms is early evidence. A low result at 50 is only inconclusive, because cycles grow faster than firm count, so recruiting continues to the written minimum before any stop. The audit measures the share of what members owe each other that sits in closed cycles, the saving from clearing, and how the saving grows with the number of members. It also reports who owes the overdue value (large or small buyers), the share of each firm's purchases and sales that are with other members, gains by business size, and what fee a member could pay and still gain.
3. In the first week of Stage 2, send questions 5 and 6 to the same lawyer. Obtain formal legal opinions on questions 5 and 6, and on registration if Stage 1 shows a path. Prepare the registration and tax-ruling filings and submit them as soon as each opinion arrives. Approval timing is outside our control.
4. With an exceptional engineer, write the acceptance tests and review the audit first. Start the live-software design only after the 100-firm checkpoint does not show a result below the pass mark. If it does, we stop and the unspent engineer fee is reported and returned or carried forward. Then design the ledger (open to members, privacy-preserving), the clearing logic, the record of payment commitments (payments only, owned by the member, portable), and the dispute framework (what counts as evidence, how peer jurors are chosen, how to appeal; a finding is recorded as the best-supported answer from the evidence and stays open to appeal), with the limit on how much one member can hold, and exit settlement for a member who leaves with open invoices. Record every invoice as an amount with its currency code, with one currency per union, so cross-border clearing can be added later without rebuilding the ledger. Write the acceptance tests. The production software is a separate build, started only after the audit result and the legal path are known.
5. Engage two or three advisors on paid retainers, and prepare the next request: a team of leaders who each run one area, the software build, an independent security review, and a pilot of the first union (3 to 20 members, clearing alone). These will need much more than $100,000.

Pass mark. The pass mark is the saving from clearing at which a typical member gains more than the fee and the cost of joining, and at which that fee also covers the cost of serving the member, keeping all members transacting, and reaching new members. It is written down with the advisors before the audit runs, together with the minimum number of firms and invoices below which a low result is reported as inconclusive, not as a failure. For reference, in the Italian network about 23% of what businesses owed each other sat in closed cycles.

Budget.

Item	Amount	What it covers
Living costs	$7,000	2 months at home at $1,000, and 1 month at up to $5,000 when work needs presence in a place
Legal	$25,000	Fixed-fee formal opinions on questions 5 and 6 and filing preparation by a top Philippine payments specialist
Exceptional engineer	$40,000	Fixed fee for the live-software, record, and dispute-framework design, acceptance tests, and review of the audit method
Advisors	$8,000	Two or three advisors on paid retainers
Operations and recruiting	$7,500	Travel, meetings, and trade-association outreach
AI tools and usage	$4,500	About $1,500 a month for research, analysis, and development
Reserve	$8,000	Overruns. Any unspent amount is reported and, at each funder's choice, returned or carried forward
Total	**$100,000**	

How success is measured. Stage 2 ends with:

- the number of businesses that signed data-sharing agreements, against the plan of 150 to 300, how many said they would join the first union in principle, and which channels they came from;
- the audit results at each checkpoint, set against the pass mark;
- the legal answers in writing, the filings submitted with their approval status, and the software, record, and dispute-framework design and acceptance tests accepted by the lead engineer;
- the audit method (results in aggregate only), the ledger design, and the legal questions, written up openly.

Where no Philippine data exists yet, the result is reported as a measurement, not as a pass or fail. A result below target is reported as it is.

Risks and how each is handled

The biggest risks are that late payment and missing bank credit are not what limits Philippine businesses most, that Philippine debts do not form enough cycles, and that registration frameworks block the

service. All three are tested before most of the money is spent. If a claim fails, we stop or redesign and report before spending on the next step.

Risk	Why it matters	Response
Late payment and missing bank credit are not the main limit for target firms	In the 2023 World Bank Enterprise Survey, 12.8% of firms named access to finance their biggest obstacle, behind electricity (18.1%) and informal-sector practices (13.6%) (source). No Philippine measure of late payment between businesses exists	Stage 1 interviews measure both causes first. If late payment and cash gaps are not a real problem for the target firms, we stop and report before any Stage 2 money is spent
Too few closed cycles in Philippine data	The Italian data showed about 23% of what businesses owed each other in cycles. Slovenian use fell to 1.2% of firms by 2019 when the economy recovered	The audit runs before any live software is built, with checkpoints so funders see results early. A low result is reported as a result for that local area, and no software is built, unless the sample was below the written minimum. Then it is reported as inconclusive and the next candidate local area is tested
Registration or tax frameworks block the service	The BSP regulates clearing services, and a reported draft circular would pause new registrations for 12 months	Counsel answers in Stage 1 whether a calculation-only service is covered, whether an already-registered operator can host it, and whether netting is taxable (Appendix A, questions 1, 2 and 3). The draft circular is tracked
Firms will not confirm what they owe	Buyers who gain from paying late may refuse to confirm a debt, and a debt that is not confirmed cannot be cancelled	In a cycle every firm is both a buyer and a supplier, so confirming is how its own debts get cancelled. This is our reasoning, not a finding. Stage 1 interviews ask buyers what would make them confirm. If most say nothing would, we stop or redesign before Stage 2 money is spent
Businesses will not share data, or lack structured invoices	Trust is local, and invoice data is sensitive. BIR e-invoicing excepts micro taxpayers. Going from 5 agreements to 150 or more depends on how many firms agree, which is unknown until Stage 1	Recruit through a trade association and along trading links, use confidentiality terms, and start with anonymized data. The lawyer clears the agreement before anyone signs. Stage 1 requires 5 written agreements and a willing trade association, and records the share of businesses approached who agreed. If Stage 2 recruiting stays below the written minimum, the result is reported as inconclusive and the next candidate local area is tested. Counsel advises how the pilot treats other formats and confirms the data-sharing terms (question 4)

Risk	Why it matters	Response
A finding or record is unfair to a member	A wrong "paid late" mark can hurt a business, and a record is only as fair as the process behind it	The record holds payment facts only. Every finding shows its evidence and stays open to appeal. The record does not travel beyond a union, and does not grow beyond payments, until peer juries have shown fair findings
A large member dominates or pays late, or small members gain less	A large buyer in a small network can set terms for everyone else. The lead Slovenian researcher said hub businesses gain more than those at the edge, and that the average value to a player was 7% to 12% (Lowimpact, 2023)	Every member accepts the same frameworks, and a limit on how much one member can hold is set by member vote. Late payment of a verified invoice is visible on the open ledger. No large buyer joins until the frameworks are tested in a live union. The audit reports gains by business size
The fee does not cover costs, or shrinks	Slovenian use fell as growth returned, and a fee on cleared value shrinks with it	The Stage 2 pass mark includes covering the cost of serving a member, keeping all members transacting, and reaching new ones, and the pilot tests it. If fees do not cover costs, we report it and redesign
Software errors, or dependence on one person	A ledger mistake changes what other people owe, and one person could be unavailable	A senior engineer writes tests first, and an independent security reviewer checks the system before any live data is used. Code, data models, and decisions are documented openly so another team can continue

Ending notes

These two grants fund the proof, not the whole network.

After the grants. The network is designed to pay for itself from member activity, but these first two grants will not get it there. They fund the proof. We expect to keep seeking grants for the build, the pilot, and growth until member fees cover the network's running costs. Grants are a bridge and not long-term fuel: once the network is running and can grow by itself reliably, it never depends on outside capital or central funding to survive.

How funders can help beyond money. Some things would speed the work as much as money: introductions to a trade association or chamber of commerce in an industrial area; introductions to a Philippine payments lawyer, a senior software engineer, or finance and supply-chain advisors; and businesses willing to share anonymized invoices.

The ask. Everything after Stage 2, including the team of leaders, the software build, the security review, and a pilot, is a separate conversation and will need much more money. When the work needs more, we will say so and ask. We work with funders who share the long-term vision and can release money fast.

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Appendix A: Questions for a Philippine payments lawyer

Stage 1 asks questions 1, 2, 3 and 4. Stage 2 asks questions 5 and 6.

1. Does a service that only calculates which debts can be cancelled, and moves no money, count as a payment system operator?
2. If it does, can the network work through an operator that is already registered?
3. Is cancelling debts in a closed cycle non-taxable settlement, and does the BIR need to confirm this in a ruling?
4. What must the data-sharing agreement and the handling of members' anonymized invoice data meet under Philippine data privacy law, including the Data Privacy Act of 2012 (Republic Act 10173), and does the answer change for invoices that name sole proprietors?
5. How should the pilot treat invoices that are not in the BIR e-invoice format?
6. Can disputes between members be settled by peers chosen by member vote, and what would make that enforceable?

Appendix B: Sources

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